

EG Energy, Climate & Resources, Europe: EU critical minerals strategy will continue to lag behind competitors

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The EU's Critical Raw Materials Act (CRMA) is moving too slowly and related funding is dwarfed by other powers like the US, China, and Japan, deterring private sector involvement.

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Some of the major extractive, refining, and recycling projects that Europe is envisioning both inside the EU and abroad will be partially cannibalized by competitor consumers—particularly the US and Japan—unless Europe promotes sustainable internal demand for them through more tangible public support.

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Improving market conditions, such as higher demand and lower energy prices, will help, but the minerals market has grown accustomed to aggressive industrial policy that Europe has yet to match.

The EU cannot mobilize fast enough to compete for minerals. The European Commission has allocated about €3 billion to projects and plans related to critical mineral extraction, processing and recycling, but the EU-sponsored strategic projects for the Critical Raw Materials Act need around €22.5 billion in capital to reach operation. The EU funding lags far behind the US, which has offered an estimated €50 billion in support of CRM projects since 2021. EU financing also comes from a fragmented set of pools. That makes disbursement too slow as geopolitics have sent world powers racing for mineral supplies.

Fragmented and limited financing will make developers jump ship. Several strategic projects have already collapsed or stalled for lack of financing: Viridian Lithium, an EU strategic project since March 2025, was placed into judicial liquidation a year later, ending a planned €295 million lithium refinery in Alsace. In Portugal, the Estarreia Lithium refinery project was also abandoned due to lack of offtake commitments. According to a study by ODI Global in June, of the strategic projects expected to start production between 2025 and 2027, roughly three in four are either behind schedule or cannot be verified as on track. In addition, most projects depend on private capital for over 70% of the project financing needs.

Other world powers are pulling ahead of Europe's slow-moving policy. As Eurasia Group has covered, Europe's policy pipeline is comprehensive and evolving (see: Governments will struggle to match minerals ambitions with political and fiscal capacity , 04 Mar 2026). Yet the Critical Raw Materials Centre final draft (expected in August) has still not been published.

In contrast, Washington has created several funding streams, and its agencies have already sent money to several companies that are choosing sites, expanding capacity, and rolling up other companies to create international supply chains. And under its recently published 15th Five-Year Plan, China is expected to double its outbound direct investment for mining (see: CONFERENCE CALL NOTES: China, the middle powers, and the global minerals race , 24 July 2026). Europe is negotiating with itself while others move more rapidly and assertively.

European ventures inside and outside Europe are likely to be partially cannibalized by rivals. According to ODI Global, of the 17 EU strategic projects with at least a preliminary offtake agreement announced, EU-bound offtake is roughly matched by offtake destined outside the bloc, mainly to Japanese and US buyers. Japanese companies, including JOGMEC, committed €110 million for a long-term offtake agreement covering half of the French strategic project CAREMAG's heavy rare-earth output.

Less Common Metals, the UK's anchor rare-earth metals and alloys manufacturer, was acquired by USA Rare Earth, folding UK processing capacity into a US-anchored supply chain. Brussels is also concerned about losing a major supply of low-carbon nickel if Anglo American completes the proposed sale of its Brazilian nickel business to Chinese-controlled MMG.

Processing and recycling capacity won't flourish from a strong market alone. Eurasia Group has predicted that many conditions that made the European market less competitive for industrial production are likely to improve in the next few years, including lower electricity prices, carbon price reductions, and higher public support for "made in Europe" manufactures through public tenders (see: EU Energy Outlook: Electricity costs will fall sharply by 2030 , 15 Jul 2026). Still, the minerals market is normalizing strong industrial policy and public spending, rendering market improvements alone insufficient. Europe has not assertively harnessed most of the necessary tools to compete with its rivals.

So far, the EU has relied on easing administrative procedures and approvals for new projects, investment protection enshrined in trade agreements, limited amounts of public financial support, mainly channeled via the European Investment Bank, and recently announced plans for stockpiling. It has stopped short of the more interventionist measures adopted by other major economies like the US and China, including taking equity stakes in private companies, agreed price floors, and long-term offtake agreements.

Brussels will confront Beijing and yield to Washington. Brussels understands that Washington is actively outbidding it on the resource race, particularly in Latin America and Africa, but it is unwilling to fight back. Some projects where the EU has already been crowded out by the US, including Less Common Metals' refining operation, are a good signal of how Brussels will respond to US takeovers. Nevertheless, souring relations with China and more appetite for a tougher stance against Beijing will clash with Chinese mining investment plans, particularly in Africa. The controversy around the Anglo American nickel mining operation takeover will serve as a litmus test of how far Brussels will go to preserve a stake in the race.

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